

# Data and Regulation of Competition

Lecture 23 September 2025

Tilburg University

Understanding Society

# Welcome

## Learning Outcomes

- What is competition law and why do we need competition law?
- The Big Data Revolution: Why regulate Internet Giants?
- What are the most important provisions of EU competition law?
- What are the main differences between EU and US competition law?

## Lecture Parts

- Introduction: A bit of history, Big Data Revolution & Relevance of Competition Law
- Objectives of Competition Law
- Legal Framework of EU Competition Law
- EU vs US Competition Law



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# Introduction

Part 1


History



John D. Rockefeller



Cornelius Vanderbilt



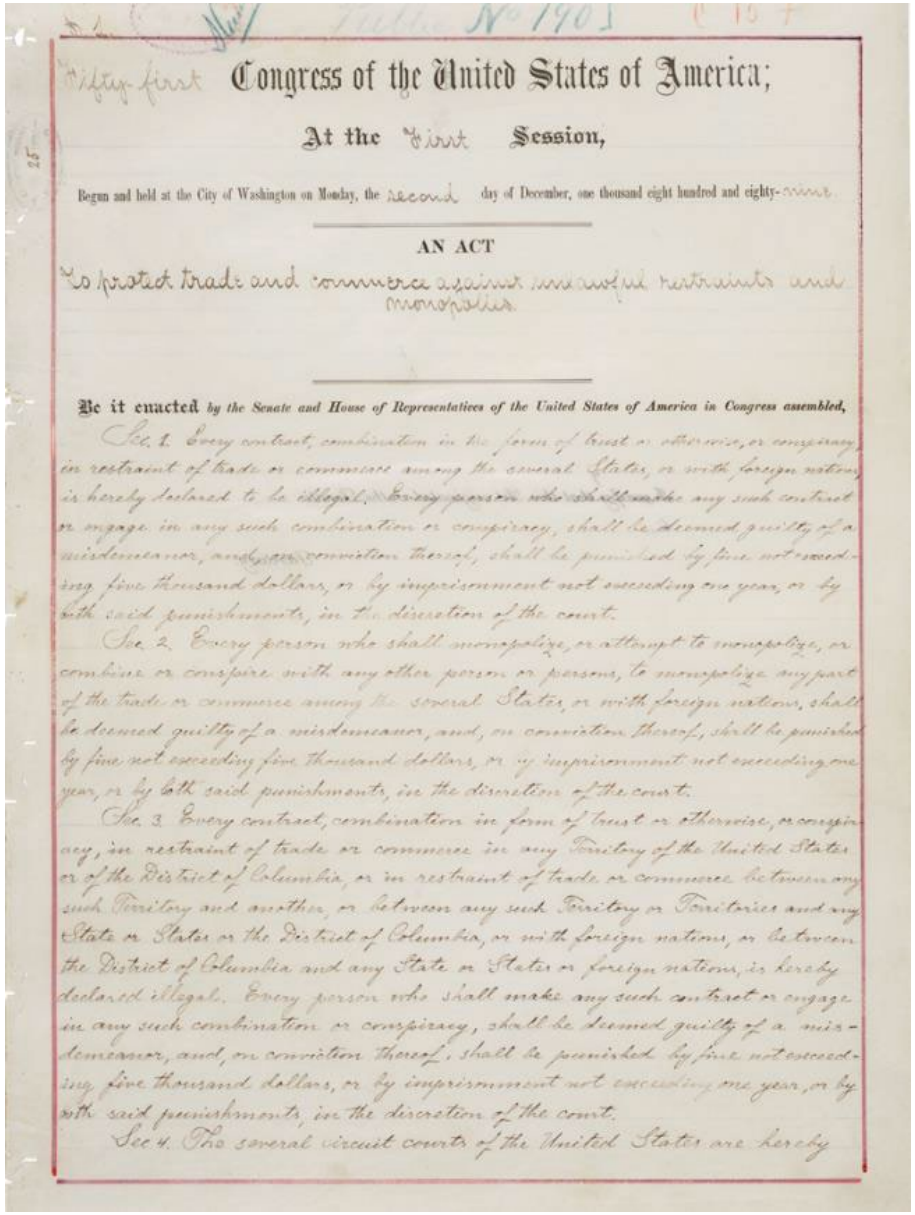
Andrew Carnegie



J Pierpont Morgan

# The "Robber Barons"

# Sherman Act



Fifty-first Congress of the United States of America;

At the First Session,

Begun and held at the City of Washington on Monday, the second day of December, one thousand eight hundred and eighty-nine

AN ACT

To protect trade and commerce against unlawful restraints and monopolies.

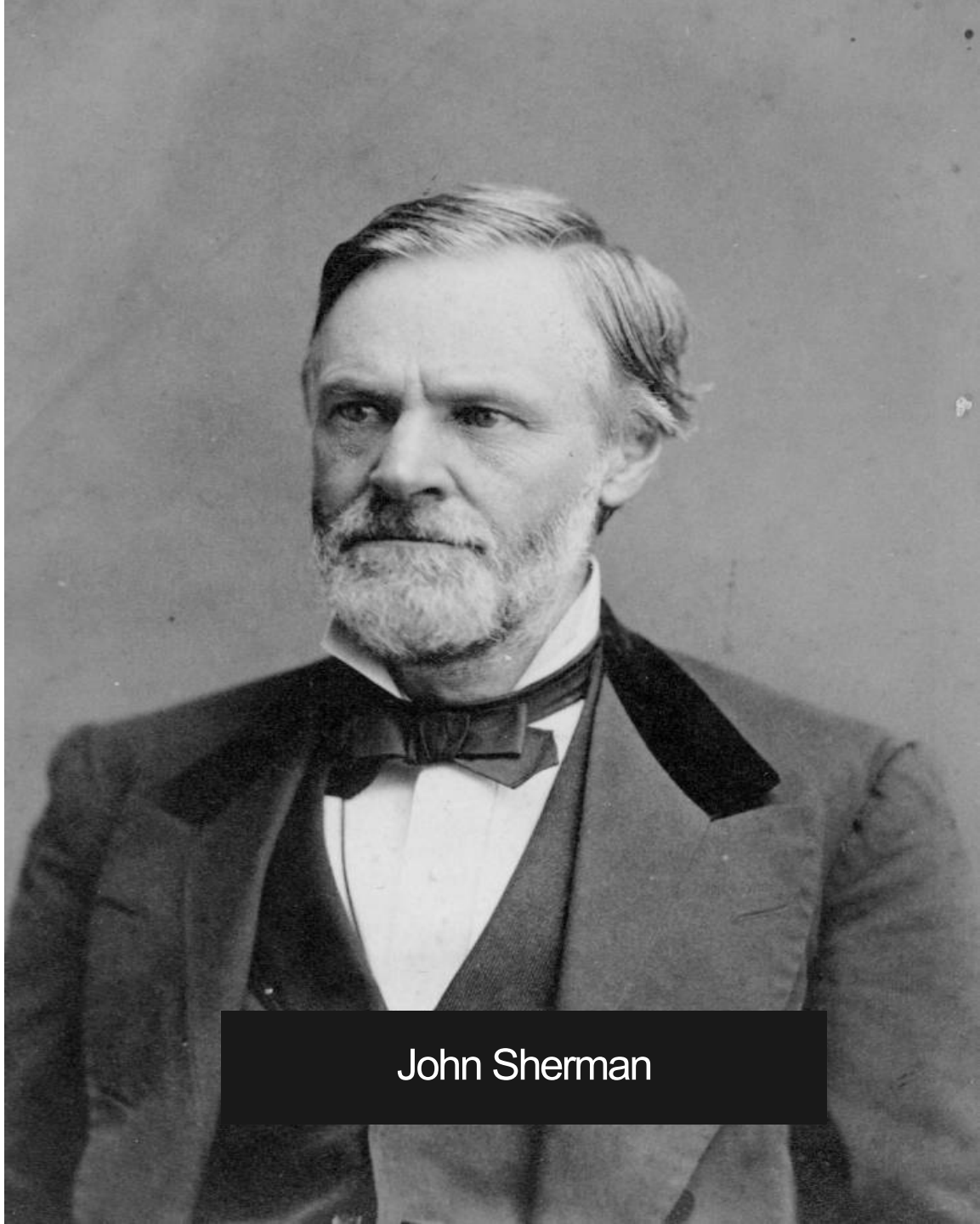
Be it enacted by the Senate and House of Representatives of the United States of America in Congress assembled,

Sec. 1. Every contract, combination in the form of trust or otherwise, or conspiracy, in restraint of trade or commerce among the several States, or with foreign nations, is hereby declared to be illegal. Every person who shall make any such contract or engage in any such combination or conspiracy, shall be deemed guilty of a misdemeanor, and, on conviction thereof, shall be punished by fine not exceeding five thousand dollars, or by imprisonment not exceeding one year, or by both said punishments, in the discretion of the court.

Sec. 2. Every person who shall monopolize, or attempt to monopolize, or combine or conspire with any other person or persons, to monopolize any part of the trade or commerce among the several States, or with foreign nations, shall be deemed guilty of a misdemeanor, and, on conviction thereof, shall be punished by fine not exceeding five thousand dollars, or by imprisonment not exceeding one year, or by both said punishments, in the discretion of the court.

Sec. 3. Every contract, combination in form of trust or otherwise, or conspiracy, in restraint of trade or commerce in any Territory of the United States or of the District of Columbia, or in restraint of trade or commerce between any such Territory and another, or between any such Territory or Territories and any State or States or the District of Columbia, or with foreign nations, or between the District of Columbia and any State or States or foreign nations, is hereby declared illegal. Every person who shall make any such contract or engage in any such combination or conspiracy, shall be deemed guilty of a misdemeanor, and, on conviction thereof, shall be punished by fine not exceeding five thousand dollars, or by imprisonment not exceeding one year, or by both said punishments, in the discretion of the court.

Sec. 4. The several circuit courts of the United States are hereby

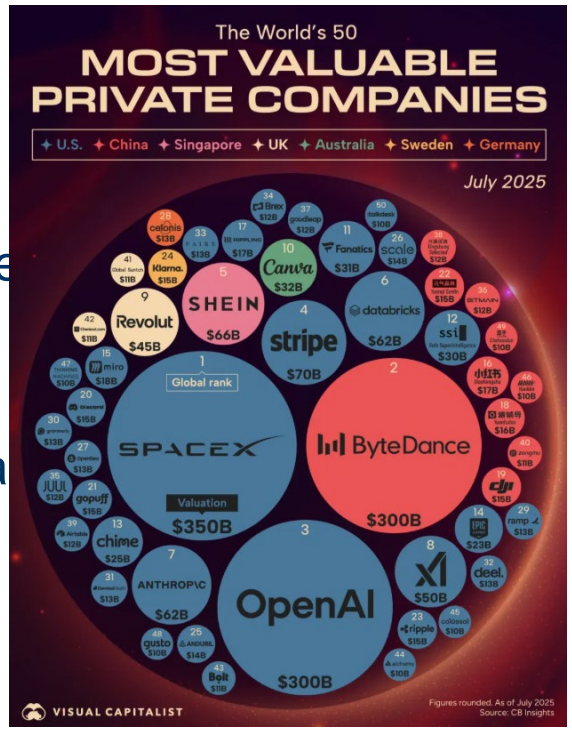


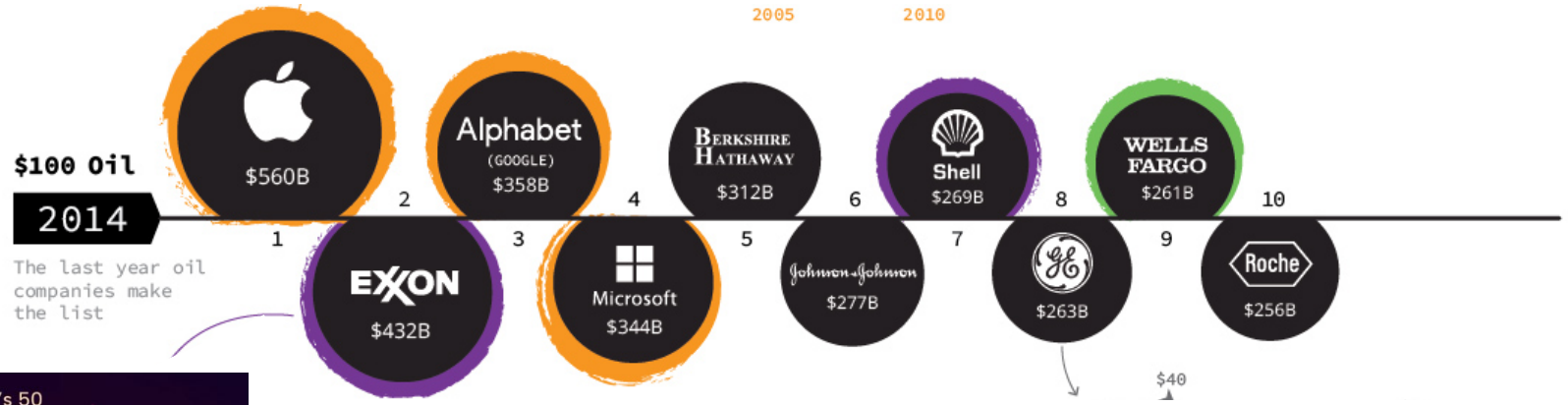
John Sherman

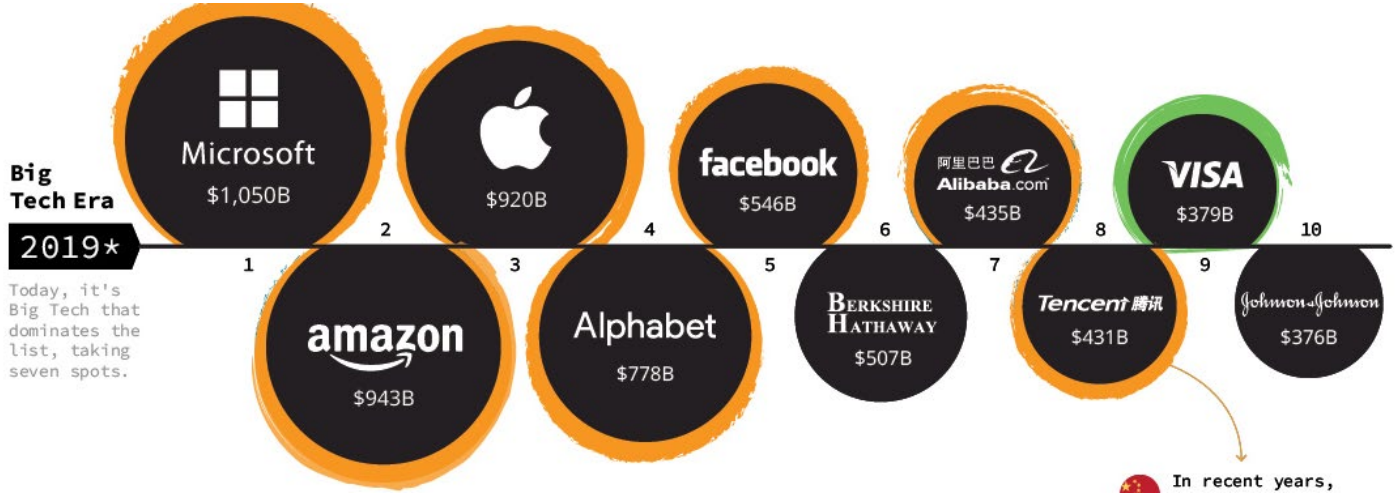

TODAY

# Big Data: Big Tech Era

- Soon more than half of the world is online
- Forbes reported that we generate almost 2.5 quintillion bytes of data every day
- Data is considered the “new oil” and the world’s most valuable resources
- Considered the new currency of the digita econmy



# Viewing Big Data Through the Lens of Competition Law

**Large online service providers are gaining overwhelming advantage by accumulating big data.**

**Can & should EU competition law address these issues?**

Competition law is concerned with: **price, quality, output, choice & innovation**

- **Price:** Advertisement dependent "free" service, but data is main currency?
- **Quality:** Privacy concerns as competition concerns?
- **Output:** Data as asset; but no monopolisation of data?
- **Choice:** Alternative providers? Efficient allocation of resources in the market?
- **Innovation:** Is competition law hindering innovation or facilitating innovation?



**Big Data is challenging competition law & its traditional methods. Are competition tools "fit for purpose"?**



# EU Competition Law

Part 2

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# Overview

- **Objectives of EU Competition Law**
- **Three Branches of EU Competition Law**
  - **Anti-trust Branch (Anti-competitive agreements and abuse of dominance)**
  - **Merger Control**
  - **State Aid (which we will not get into)**
- **Enforcement**

# Objectives: Why Competition Law?

## Why Competition Law matters

**PERFECT COMPETITION** ← spectrum → **NO COMPETITION = MONOPOLY**

- Many sellers & many buyers
- Freely available information
- Easy entry into market
- Pressure to continuously strive for best possible products & prices = maximization of consumer welfare
- Drives innovation & long-term economic growth/welfare

- One seller
- Less choice for consumer
- High entry barriers
- Less incentives to cut costs
- Less incentives to innovate

# Objectives: Why Competition Law?



# Objectives: Let's delve a bit deeper into EU competition law

**EU Objectives**

*Article 3*

(ex Article 2 TEU)

1. The Union's aim is to promote peace, its values and the well-being of its peoples.

2. The Union shall offer its citizens an area of freedom, security and justice without internal frontiers, in which the free movement of persons is ensured in conjunction with appropriate measures with respect to external border controls, asylum, immigration and the prevention and combating of crime.

3. The Union shall establish an internal market. It shall work for the sustainable development of Europe based on balanced economic growth and price stability, a highly competitive social market economy, aiming at full employment and social progress, and a high level of protection and improvement of the quality of the environment. It shall promote scientific and technological advance.

**Article 3 of Treaty on European Union (TEU)**

# Objectives of EU Competition Law

## EU Objectives: Single Market Imperative

- **Single Market/Internal Market**: an area without internal frontiers in which the free movement of goods, persons, services and capital is ensured in accordance with the provisions of the Treaties

"*The founding fathers of Europe understood that there would be* ***no genuine integration without a Single Market*** *– and no functioning Single Market without a* ***strong competition policy enforced by a central competition authority***"

– Margrethe Vestager, Commissioner for Competition Policy (2015)

# Objectives: Why Competition Law?

**EU Objectives: Single Market Imperative (Cont.)**

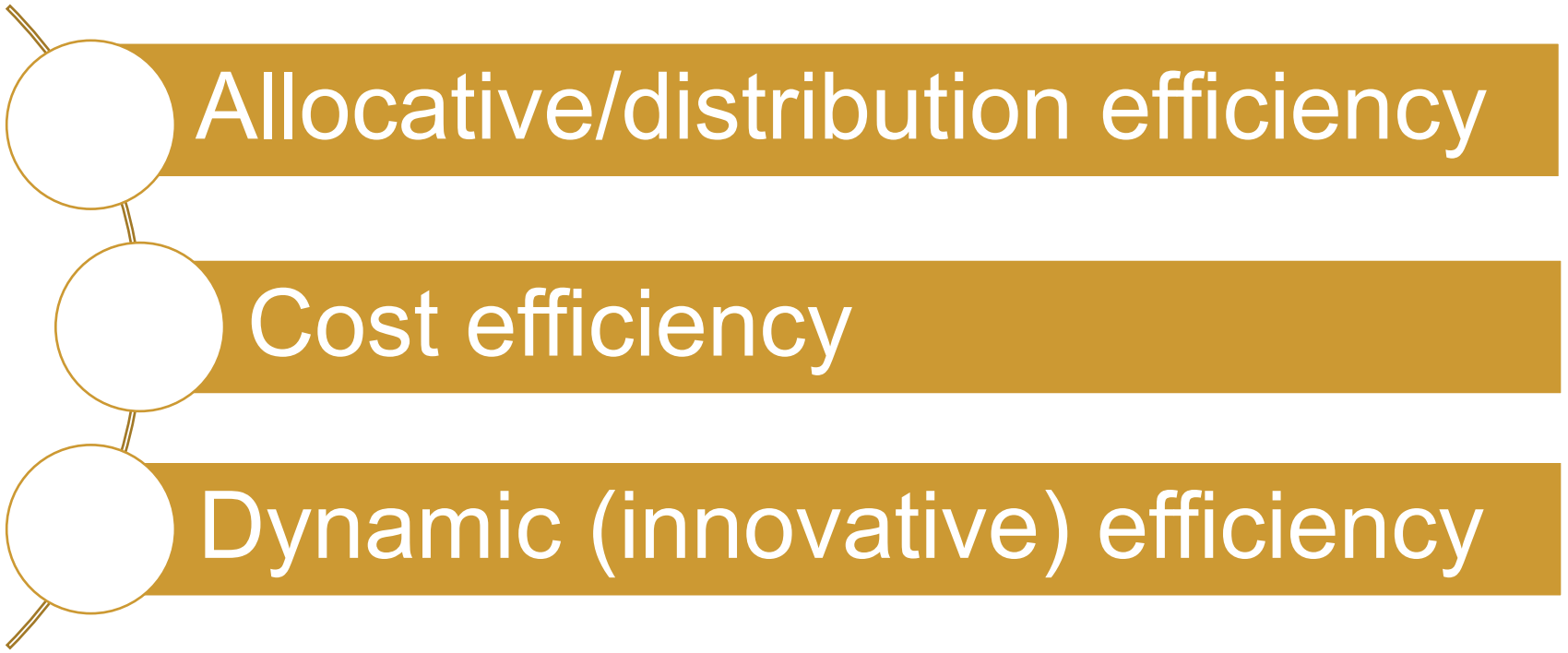
- Competition rules are "designed to protect not only the immediate **interests of individual competitors or consumers** but also to protect the **structure of the market** and thus competition as such"
  – CJEU (C-8/08 *T-Mobile Netherlands BV*)
- "Our aim is simple: to protect competition in the market as a means of **enhancing consumer welfare** and ensuring an **efficient allocation of resources**"
  – former European Commissioner for competition policy, Neelie Kroes (2005)

**What do we get from this?**

1) Facilitation & Safeguarding of Internal Market
2) Protection of consumer welfare
3) Economic Efficiency
4) Protecting the competitive process

# What do we mean by economic efficiency?

- **General economic efficiency**



# EU Competition Law

## Main EU Treaties

1) **Treaty on European Union (TEU)**
2) **Treaty on the Functioning of the EU (TFEU)**

**TEU**

- Article 3 TEU – aims of the EU
- Protocol 27 – Art. 3 TEU "includes a system ensuring that competition is not distorted"

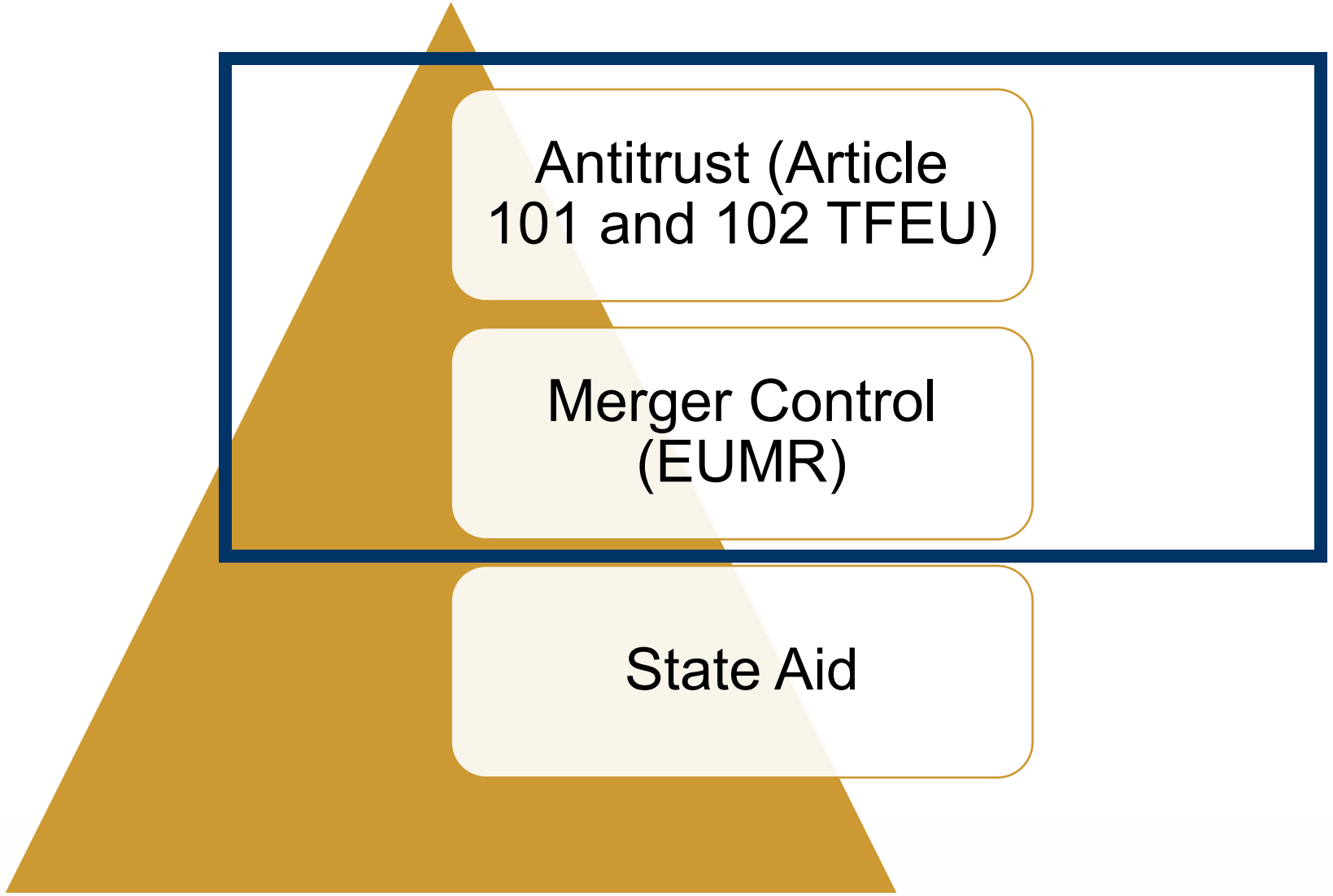
**TFEU**

- **Article 101 – 106 TFEU** – Rules applying to undertakings
- Article 107 – 109 TFEU – Aids granted by States

**Main EU Competition Law Tools (Overview)**

- Article 101 TFEU – **Anti-competitive behaviour**
- Article 102 TFEU – **Abuse of dominant position**
- Regulation (EC) No 139/2004 – **Merger control**

# Three branches of EU Competition Law



# Merger Control - Regulation (EC) No 139/2004

## Merger Control

### Article 2(3) EUMR:

3. A concentration which would significantly impede effective competition, in the common market or in a substantial part of it, in particular as a result of the creation or strengthening of a dominant position, shall be declared incompatible with the common market.

### Legal Test (simplified)

1) Concentration
2) EU Dimension
3) Significantly Impede Effective Competition
4) In a substantial part of the internal market
5) Prior Notification

# Merger Control - Regulation (EC) No 139/2004

1) **Concentration**
   a) **Merger:** Two previously independent undertakings become one (e.g. 14 directors, 7 from each side)
   b) **Acquisition:** One undertaking gains control over another (e.g. holding > 50% shares)
2) **EU Dimension: A certain threshold must be met of turnover** (e.g. a combined worldwide turnover of > 5000 mio. Euro and a EU-wide turnover of > 250 mio. Euro)
3) **Significantly impede effective competition**
   a) **Through non-coordinated effects**: risk of significant price increase through loss of competition
   b) **Through coordinated effects**: coordinating behaviour outside of Article 101 TFEU
4) **In a substantial part of the internal market:** Dominance in already one EU Member State is sufficient
5) **Prior Notification:** European Commission must be notified prior to merger/acquisition

# Merger Control
## Examples – A data market?

- *Google/DoubleClick* merger (2008):

combination of information on users' search behaviour from Google and users' web-browsing behaviour from DoubleClick

- *Facebook/WhatsApp* merger (2014):

concerns about data concentration if Facebook were to start using WhatsApp's data to provide targeted advertising on Facebook

- *Microsoft/LinkedIn* merger (2016): approved with commitments

similar concerns about data concentration in relation to online advertising

- *Apple/Shazam* merger (2018):

integration of Shazam's and Apple's sets of user data would not confer a unique advantage to the merged entity

- *Google/Fitbit* merger (2020):

imposition of a data silo to address concerns regarding data concentration

# Anti-Competitive Behaviour – Article 101 TFEU

**'Cartel-Prohibition'**

*Article 101*
(ex Article 81 TEC)

1. The following shall be prohibited as incompatible with the internal market: all agreements between undertakings, decisions by associations of undertakings and concerted practices which may affect trade between Member States and which have as their object or effect the prevention, restriction or distortion of competition within the internal market, and in particular those which:

(a) directly or indirectly fix purchase or selling prices or any other trading conditions;

(b) limit or control production, markets, technical development, or investment;

(c) share markets or sources of supply;

(d) apply dissimilar conditions to equivalent transactions with other trading parties, thereby placing them at a competitive disadvantage;

(e) make the conclusion of contracts subject to acceptance by the other parties of supplementary obligations which, by their nature or according to commercial usage, have no connection with the subject of such contracts.

**Legal Test (simplified)**

1) **Between Undertakings**
2) **Agreements or concerted practices**
3) **Effect on trade between Member States**
4) **Effect on competition by object or effect**
5) **No justification according to Art. 101(3) TFEU**

# Anti-Competitive Behaviour – Article 101 TFEU

1) **Between Undertakings:** Any entity that engages in commercial/economic activities, whether or not such activities are carried out for profit *(e.g. Microsoft)*
2) **Agreements or concerted practices**
3) **Effect on trade between Member States:** If the pattern of trade between at least two Member States is impacted – this may be direct/indirect, actual/potential ≠ not if effect is insignificant
4) **Effect on competition by object or effect**
    a) **By object** – 'hard core cartels' *(e.g. price fixing)*
    b) **By effect** – when it can be foreseen that an agreement/concerted practice has a negative effect on prices, output, innovation, variety of goods/services or quality of goods/service ≠ not if effect is insignificant

# What is an agreement under competition law?

a) **Agreement:** Any agreement – written/oral, no physical meeting necessary, phone call/email may suffice = parties determine how they behave on the market *(e.g. price fixing)*

   i. **Horizontal agreements:** Between two competitors operating at the same level of the supply chain *(e.g. Spotify & Apple Music; price fixing)*

   ii. **Vertical agreements**: Between undertakings at different levels of the supply chain *(e.g. manufacturer – distributor; fixing retail price)*

b) **Concerted Practice:** Informal cooperation between undertakings without any formal agreement or decision = parties reveal their strategies *(e.g. information exchange)*

*"The competitors know each other so well, even a wink and a nod between them could lead to an anti-competitive behaviour."*

# Exemption

- **Exemption under Article 101(3) TFEU***:*
  - gains > anticompetitive effects
  - fair share of benefit for consumer
  - no elimination of competition in a substantial part of the market
  - no restrictions that are not indispensable for the gains mentioned

# Anti-Competitive Behaviour – Article 101 TFEU

## Example: Case Google & Meta (ongoing)

- Online display advertising services market
- **Google** provides advertising technology services that intermediate between advertisers and publishers by real time auctioning of online display advertising space on web sites or mobile apps, including through its ‘Open Bidding programme’.
- **Meta** provides online display advertising services and, through its ‘Meta Audience Network', participates in auctions for third party publishers' advertising space using Google's and rivals' advertising technology services.
- ‘’Jedi Blue” agreement between Google and Meta,  for the participation of Meta's Audience Network in Google's Open Bidding programme. The Commission is concerned that the agreement may form part of efforts to exclude ad tech services competing with Google's Open Bidding programme,

# Abuse of Dominant Position – Article 102 TFEU

## Abuse of Dominance

*Article 102*
(ex Article 82 TEC)

Any abuse by one or more undertakings of a dominant position within the internal market or in a substantial part of it shall be prohibited as incompatible with the internal market in so far as it may affect trade between Member States.

Such abuse may, in particular, consist in:

(a) directly or indirectly imposing unfair purchase or selling prices or other unfair trading conditions;

(b) limiting production, markets or technical development to the prejudice of consumers;

(c) applying dissimilar conditions to equivalent transactions with other trading parties, thereby placing them at a competitive disadvantage;

(d) making the conclusion of contracts subject to acceptance by the other parties of supplementary obligations which, by their nature or according to commercial usage, have no connection with the subject of such contracts.

### Legal Test (simplified)

1) **Abuse**
2) **Undertaking**
3) **Dominant position**
4) **In a substantial part of the internal market**
5) **No objective justification**

# Abuse of Dominant Position – Article 102 TFEU

**Abuse of Dominance (Cont.)**

1) **Abuse:** No single definition but abusive behaviour examples included in Art 102(a)-(d) TFEU (non-exhaustive)
2) **Undertaking(s):** Any entity that engages in commercial/economic activities, whether or not such activities are carried out for profit *(e.g. Microsoft)*
3) **Dominant Position:** A position of economic strength which enables the undertaking to prevent effective competition by giving it the power to behave to an appreciable extent independently of its competitors and consumers
4) **In a substantial part of the internal market:** Dominance in already one EU Member State is sufficient
5) **No objective justification**

**A dominant position in itself is not an infringement of Article 102 TFEU – only the abuse of its dominance to reduce/distort competition in the market. This gives a special responsibility to a dominant company. It also means that what is abusive for a dominant company may not be illegal for a non-dominant company.*

# Microsoft Case

**Setting the State for Competition Law & Data: *Microsoft* – Case COMP/C-3/37.39**

**One of the first cases to raise the question of access to data in competition law**

- Microsoft, **dominant company** for computer operating system, withheld interface information data from competitors in the secondary software market
- Competitors who wanted to offer software, which is **interoperable with Windows operating system**, could **not enter the market** due to lack of data

- European Commission held that this is an **abuse of a dominant position** = infringement of EU competition law
- Decision was upheld at General Court (CJEU)

- Microsoft was fined almost 500 mio. Euros + was ordered to grant licenses on reasonable & non-discriminatory terms

# German META Case

- Bundeskartellamt prohibited Meta from combining user data from several sources without the users' consent.
- Meta appealed this decision to the Higher Regional Court of Düsseldorf.
- The Düsseldorf court asked the CJEU to provide clarification on how to interpret certain provisions of the General Data Protection Regulation (GDPR) and whether the Bundeskartellamt may also take into consideration GDPR norms when weighing interests in decisions under competition law.
- CJEU → Data protection considerations CAN BE TAKEN INTO ACCOUNT in an abuse of dominance case by also ensuring cooperation with DPAs.

# Enforcement

**On EU level**

1. European Commission investigates
2. European Commission issues a Decision
3. Appeal to General Court and/or the CJEU itself




Autoriteit
Consument & Markt



**On national level**

- National Competitive Authorities (apply national & EU competition law)
- Private Companies (through national courts)



# EU vs US Competition Law

Part 3

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# Competition Law: EU vs US

| Category | EU | US |
|---|---|---|
| **Main Objective** | Internal Market (although it is increasingly becoming more about consumer welfare) | Consumer Welfare – strictly economic approach |
| **Competition Law "Tools"** | 1. Anti-competitive behavior<br>2. Abuse of dominant position<br>3. Merger control<br>4. State aid | 1. Anti-competitive behavior<br>2. Abuse of dominant position<br>3. Merger control |
| **Enforcement** | By Administrative system | By criminal law |
| **Enforcement actors** | European Commission<br>National competition authorities | Department of Justice<br>Federal Trade Commission |
| **Fines** | Max. 10% of the annual overall turnover (worldwide) | Up to 100 mio. US Dollars or higher fines based on profits and damages incurred |

# Cooperation between EU & US

- European Commission and US authorities (DOJ & FTC) **cooperate** on cases that affect both jurisdictions
- EU can **request** US to take action when it sees its own market adversely affected by an action that is taking place in the US territory (and vice versa)
- But either jurisdiction will only look at their **own markets**, which means they can come to **different results** regarding the same case (e.g. merger control)
- Cooperation may be based on Cooperation Agreement (1991), Positive Comity Agreement (1998), Best Practices Document (2011)

# US Microsoft Case

**Example of US Case**

**Abuse of Dominance*: United States v Microsoft***

- The U.S. government accused Microsoft of abusing its dominant position in the web browser market for Windows
- The abusive behaviour was primarily through the legal and technical restrictions it put on the abilities of PC manufacturers (OEMs) and users to uninstall Internet Explorer and use other programs such as Netscape and Java.
- At the initial trial, the United States District Court for the District of Columbia ruled that Microsoft's actions constituted unlawful monopolization under Section 2 of the Sherman Antitrust Act
- U.S. Court of Appeals for the D.C. Circuit partially overturned that judgment
- The two parties later reached a settlement in which Microsoft agreed to modify some of its business practices.

# Google

## European Commission

- **2017**: Google Shopping
- **2018**: Google Android
- **2019**: Google AdSense
- **2020**: Google/Fitbit
- **2021**: Google adtech
- **2022**: Google & Meta
- **2025:** Google Adtech

| EU | |
|---|---|
| **Google (2018)** | **€ 4,342 bn** |
| Truck Cartel | € 3,8 bn |
| **Google (2025)** | **€ 2,95 bn** |
| **Google (2017)** | **€ 2,42 bn** |
| **Apple (2024)** | **€ 1,84 bn** |
| Bank Cartel | € 1,712 bn |
| **Google (2019)** | **€ 1,49 bn** |

## United States

- **2020**: Google exclusionary contracts
- **2020**: Google advertising
- **2020**: Google exclusionary contracts
- **2023**: Google adtech

| US | |
|---|---|
| Citicorp (2017) | $ 925 m |
| Barclays (2017) | $ 650 m |
| JP Morgan Chase (2017) | $ 550 m |
| F. Hoffmann- La Roche (1999) | $ 500 m |
| AU Optronics (2012) | $ 500 m |
| Yazaki (2012) | $ 470 m |

# Questions?


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# Up Next: ACD

**Thank you!**

*See you next week!*